THE GAP-IN-THE-MARKET MODEL

HOW TO RECOGNISE A BANKABLE IDEA

The goal of every new business is to discover and occupy a gap in the market. But what is the best way of proceeding? The gap-in-the-market model helps by depicting a market in a clear, three-dimensional way. Draw three axes that measure the development of your market, your customers and your future products.

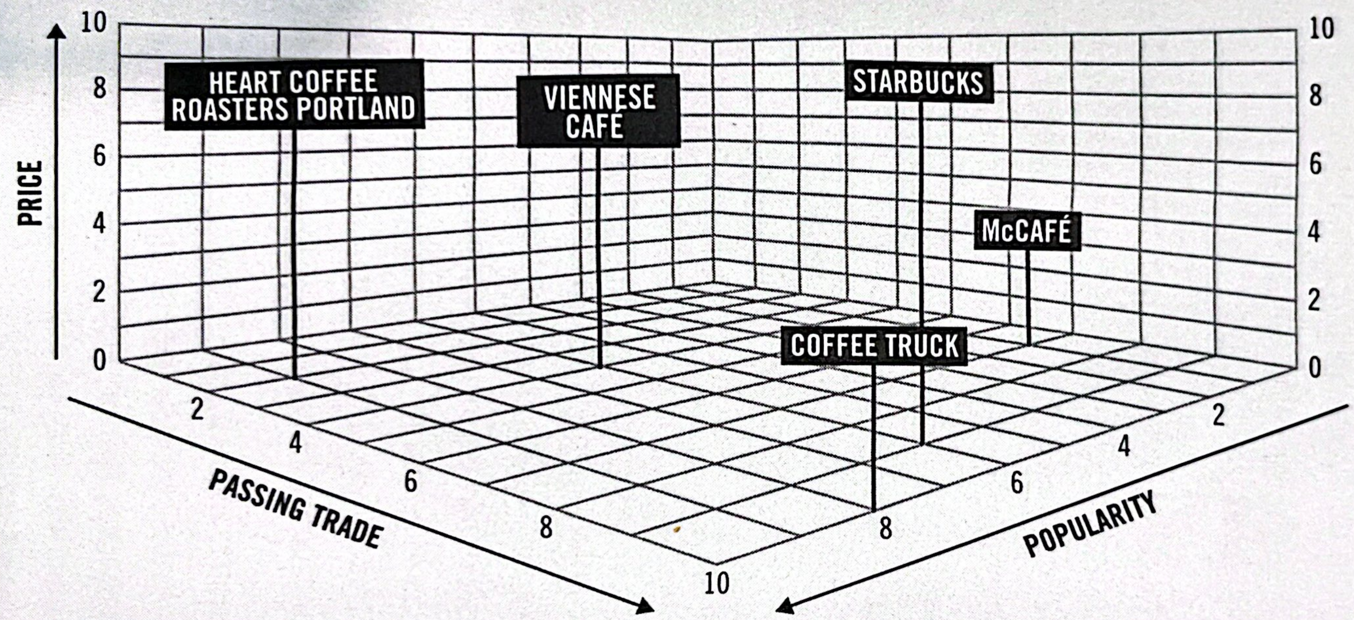
Say that you want to open a new café. Position your competitors on the graph according to the following criteria:

- X-axis: Location (how much foot traffic does this street get?)
- Y-axis: Price (how expensive is the coffee?)
- Z-axis: Cool factor (how popular is the café?)

In areas that are dense with competitors, you should enter the market with your business model only if it has the potential to be a 'category killer'. (For example, by elevating coffee drinking from an ordinary, everyday habit to a premium experience, Starbucks became a category killer, and the benchmark for all other market players.) Look for a niche, an area that has been overlooked and that is not yet occupied.

Beware! If nobody else is in that area, you should check if there is any demand in the first place.

Positioning is like drilling for oil. Close is not good enough.



This model helps you to identify gaps in the market: position your competitors according to the three axes (e.g. pricing, potential for passing trade, popularity). Where is there a niche?